FRVO

FRVO N/A

Buy **$35.09** ▼ 3.84%

12M Price Target	52-Week Range	Market Cap
$48.00	$32.39 – $42.65	$10.32B

FRVO: Reiterate Buy; Geothermal Scale-Up Thesis Intact Post-Pullback

WHAT'S CHANGED

- FRVO -3.84% to $35.09 on elevated volume (2.23M vs. ~1.3M avg), giving back most of 6/17's +7.6% surge to $36.49; stock now sits at just 26% of 52-week range ($32.39–$42.65), signaling exhausted IPO-era momentum.
- Unusual put activity in July $30 strike (1,074 contracts, 7.1x OI) versus muted call flow suggests institutional hedging against a retest of the 52-week low, though headline P/C of 0.61 remains constructive.

IMPLICATIONS

The fade from $36.49 despite no negative company-specific news reflects post-IPO digestion rather than thesis erosion — recent bullish initiations (6/8) and the WSJ/Barron's geothermal narrative (5/18, 5/25) remain supportive backdrop. With Utilities +0.67%/+1.61% and Industrials +0.73%/+3.29% offering only modest tailwind, FRVO is trading more as a high-beta growth name than a regulated power proxy, leaving it vulnerable to Tech rotation (+3.04% 1D) absorbing risk budgets. The $30 put accumulation suggests smart money is pricing real downside risk into the lock-up/secondary calendar window even as the long-term EGS scale-up story remains intact.

VALUATION

At $10.32B market cap on ~$185M FY26E revenue, FRVO trades at ~56x EV/Sales FY26E and ~25x FY27E — rich versus diversified IPPs but warranted by triple-digit revenue CAGR through 2028 as Cape Station phases commission. Our $48 PT implies ~37% upside and ~30x FY27E sales, in line with comparable hyperscaler-aligned power developers. Multiple compression risk dominates near-term as the float matures; multiple expansion catalyst is a marquee new gigawatt-scale PPA disclosure.

KEY RISKS

- Execution risk on Cape Station drilling cost curve — any well productivity disappointment would directly compress LCOE thesis underwriting hyperscaler economics.
- Capital intensity: continued equity issuance to fund 2GW+ pipeline could pressure shares; deeply negative FCF through 2027.
- Sentiment risk from rotating IPO cohort — post lock-up supply and the unusual $30 put accumulation point to identifiable downside catalyst window.

RECENT NEWS

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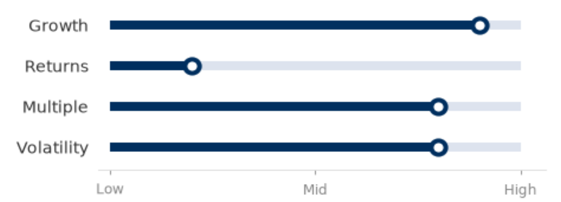
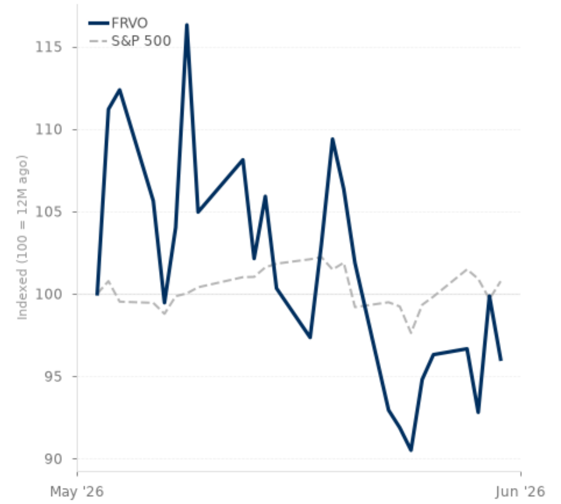
Key Data

Price (USD)	**$35.09**
12M Price Target	**$48.00**
Upside / (Downside)	**+36.8%**
Market Cap	**$10.32B**
FY2026E Revenue	**$185M**
FY2027E Revenue	**$410M**
FY2026E EPS	**($1.85)**
FY2027E EPS	**($1.20)**
Fwd P/E	**N/M**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



FRVO — FRVO | June 19, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$40.00**	$36.50	**$32.00**
6 Months	**$50.00**	$42.00	**$30.00**
1 Year	**$60.00**	$48.00	**$28.00**
2 Years	**$80.00**	$60.00	**$25.00**
5 Years	**$140.00**	$90.00	**$20.00**
10 Years	**$280.00**	$160.00	**$15.00**

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Industrials

COLD SECTORS: Real Estate, Communication Services

ROTATION WATCH: Tech leadership (+3.04% 1D / +4.49% 5D) is pulling capital from yield-sensitive Utilities and REITs; geothermal sits awkwardly between the two, benefiting from AI/data-center power demand narrative but trading at growth multiples.

BYPRODUCT PLAY: Hyperscaler 24/7 carbon-free power mandates drive secondary opportunities in transmission (e.g., NEE, GEV), grid software, and drilling services suppliers benefiting from EGS technology transfer from oil & gas.

OUTPERFORMERS & PEER CONTEXT

- GEV (GE Vernova): Gas turbine and grid orders running at multi-year highs as data center power demand outstrips supply.
- VST (Vistra): Pure-play on AI power demand, materially outperforming utility peers YTD on PPA repricing leverage.

FRVO CONTEXT: FRVO is lagging the broader power-for-AI trade despite arguably superior thematic fit; at 26% of 52-week range, the stock is decoupling from VST/GEV/CEG strength, suggesting either company-specific overhang (float/lock-up) or skepticism on commercial-scale execution timeline.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: $33-34 on retest of 52-wk low support

Time Horizon: 12-24 months

Thesis Invalidation: Cape Station Phase II delays >6 months or PPA cancellation by hyperscaler offtaker

Hedging: Pair with short basket of higher-multiple renewables or NEE long for utility beta